Chapter-One

Introduction to Islamic Economics

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CHAPTER OUTLINES

1. Definitions
2. Development of Islamic economic thought
3. Goals or objectives of Islamic economics
4. Assumptions of Islamic economics
5. Main sources of the knowledge of Islamic economic study
6. Importance of Islamic economics.
7. Basic economic problems in a society.

DEFINITIONS

What is Economics?

1. Conventional definition:

- Economics is the study of how scarce resources are allocated to satisfy unlimited human wants.
- Focuses on choice: because resources are limited, people, firms, and governments must make choices.
- Mainly through demand and supply in the market, without considering moral or ethical aspects.
- Example: A family has a fixed income (scarce resource) but wants to buy both a car and a house. They must choose one now and delay or forego the other.

2.What is Islamic Economics?

- Islamic Economics is the study of allocation and distribution of resources in a way that is guided by Shariah (Islamic law).
- Focuses not only on efficiency but also on justice, fairness, and ethical considerations.
- Key Principle are achieving success and well-being in both this world and the Hereafter.
- Islamic economics seeks a balanced approach: Material prosperity and wealth (dunya), Spiritual and moral well-being (akhirah)
- Example: A business earns profit but avoids interest (Riba) and engages in ethical trade, contributing to community welfare.

DEVELOPMENT OF ISLAMIC ECONOMIC THOUGHT

The development of Islamic economic thought passed through different historical stages. It evolved from the time of the Prophet (ﷺ) to the modern Islamic finance system.

1. **Early Islamic Period (7th Century)**

Economic principles were established during the time of Prophet Muhammad (SAW).

- Basic economic principles were established.
- Riba (interest) was prohibited.
- Zakat system was introduced.
- A free and ethical market was established in Madinah.
- Encouraged fair trade & honesty, and market supervision were practiced

Example: The Prophet (SAW) said, “The truthful merchant will be with the Prophets and martyrs in Paradise.”

This period laid the foundation of Islamic economic system.

2.Period of Khulafa-e-Rashideen(7th–8th Century)

- During the development of the four rightly guided caliphs: Established Bayt al-Mal (Public Treasury) → like a central budget for welfare, roads, military.
- Applied Zakat → Example: Compulsory charity collected and redistributed to the poor.
- Introduced Kharaj (land tax) on conquered lands → Example: Farmers in Iraq and Syria paid kharaj to support the treasury.
- Salary structure for government officials.
- Welfare policies for poor and needy.

Islamic public finance system became organized.

3. Classical Period (8th–15th Century)

- Many Muslim scholars wrote about economic issues: Abu Yusuf – Wrote Kitab al-Kharaj on taxation.
- Al-Ghazali – Discussed money, trade, and social welfare.
- Ibn Khaldun – Explained division of labor, taxation, and economic development in Muqaddimah.

Islamic economic thought became more analytical and systematic.

4. Period of Decline (16th–19th Century)

- Muslim empires like the Ottoman & Mughal focused more on politics and less on new economic theories.

Example: Zakat continued, but no major innovations in banking or trade policies compared to Europe's Industrial Revolution.

- Result: Western economic thought (Adam Smith, Ricardo) became dominant globally.

5. Modern Revival (20th Century – Present)

In the 20th century:

- Muslim scholars revived Islamic economic thought.
- Islamic banking system developed.
- Interest-free financial institutions were established.
- Universities and research centers now study Islamic economics as a separate field.

- Research centers and universities introduced Islamic economics as a subject.

Today Islamic economics is a recognized academic discipline worldwide.

6. Contemporary Issues (21st Century)

- Fin-Tech in Islamic Finance: Mobile-based zakat collection in Malaysia.
- Green Sukuk: Indonesia issued "Green Sukuk" in 2018 to fund renewable energy projects.
- Microfinance Models: Grameen Bank (Bangladesh) inspired Islamic microfinance institutions to help the poor without charging interest.

GOALS OR OBJECTIVES OF ISLAMIC ECONOMICS

1. Achievement of Falah (Success in this world & the Hereafter):

- Islam does not see economics as just material gain, but as a path to success in both worlds.
- Example: A businessman earns halal income, pays zakat, helps the poor → he gains wealth here and reward in the Hereafter.

2. Justice and Equity (Adl & Ihsan):

- Ensure fair distribution of wealth.
- No exploitation, no concentration of wealth in few hands.
- Example: Zakat system redistributes wealth from rich to poor.

3. Protection of Basic Needs:

- Guarantee food, clothing, shelter, health, education for every member of society.
- Example: In Caliph Umar (RA)'s time, Bayt al-Mal provided food for the poor during famine.

4. Prohibition of Exploitation:

- Prevent unjust gains through riba (interest), gharar (excessive uncertainty), maysir (gambling).

- Example: Instead of charging high-interest loans from farmers, Islamic finance uses Mudarabah (profit sharing).

5. Balanced Growth & Development:

• Encourage economic growth, but not at the cost of ethics or environment. Example: Quran (7:31) → "Eat and drink, but do not waste; indeed, He does not like the wasteful."

• Modern example: Green Sukuk used for renewable energy projects.

6. Social Solidarity:

• Strengthen brotherhood through mutual support.

• Example: Takaful (Islamic insurance) helps members collectively cover risks.

7. Moral & Spiritual Development:

• Economics is tied to morality – honesty, trust, fairness.

• Example: Prophet Muhammad ﷺ called the honest merchant among the most beloved to Allah.

8. Preservation of Wealth (Hifz al-Mal)

9. Protect individual and collective wealth.

10. Encourage investment, discourage hoarding.

Example: Islamic inheritance laws prevent wealth monopoly and ensure family members get fair shares.

ASSUMPTIONS OF ISLAMIC ECONOMICS

1. Belief in Islamic Shariah:

- Islamic economics assumes that all economic life must operate within the limits set by Shariah (Qur'an, Sunnah, Ijma, Qiyas).
- Implication: Not everything profitable is allowed; only halal activities are valid.
- Example: Selling alcohol, gambling, or interest-based banking is prohibited even if profitable.
- Instead, Islamic banks use Murabaha (cost-plus sale), Ijara (leasing), or Mudarabah (profit sharing).
- Islamic economics is normative (value-driven), not just positive (fact-based).

2. Belief in Allah's Sovereignty:

- Allah is the true Owner of all wealth, resources, and power. Humans are only trustees (Khalifah).
- Use wealth responsibly for benefit of self and society. Hoarding and waste (Israf) are sinful.
- Example: • Quran (2:284): "To Allah belongs whatever is in the heavens and the earth." A farmer irrigates crops responsibly, knowing water is a trust, not a private commodity to waste.
- Unlike capitalism (man owns everything) or socialism (state owns everything), Islam says Allah owns everything.

3. Belief in Islamic Man:

- Islamic economics assumes a human being who balances material needs and spiritual obligations.
- Choices are guided by halal, haram, justice, and accountability, not just self-interest.
- Example: A trader avoids cheating customers even if he can make higher profit because he seeks Allah's reward. He may charge a fair price instead of monopoly pricing.
- This contrasts with Western economics' "Economic Man," who is purely profit maximizing and selfish.

4. Belief in Accountability:

- Every economic action will be judged by Allah on the Day of Judgment. Short-term gain at the cost of justice will harm a person in the Hereafter.
- Example: A businessman who manipulates weights to cheat customers may earn more money now, but he will be answerable to Allah. A banker who avoids interest-based dealings hopes for reward even if competitors earn more.
- Accountability makes the system self-regulating — even if the state doesn't catch you, Allah will.

5. Belief in Equal Human Dignity:

- Islam assumes that all humans are equal before Allah, regardless of wealth, race, or status.
- No system of economic discrimination or exploitation is acceptable. Example: Zakat is collected from the wealthy and distributed to the

poor without discrimination. During Caliph Hazarat Umar (RA)'s rule, food stipends were given equally to Arab and non-Arab Muslims.

- Islamic economics promotes social justice, poverty alleviation, and inclusivity.

Basic Problems of an Economy

In every economic system, what to produce, how to produce, for whom to produce and efficiency of the resources used or efficient use of resources are major problems. These problems are peculiar to every system being it socialism, capitalism or mixed economy. The following points highlight the basic problems of an economy:

The First Economic Problem: What to produce?

The first central problem of an economy is to decide what goods and services are to be produced and in what quantities. This involves allocation of scarce resources in relation to the composition of total output in the economy. Since resources are scarce, the society has to decide about the goods to be produced: wheat, cloth, roads, television, power, buildings, and so on. Once the nature of goods to be produced is decided, then their quantities are to be decided. Since the resources of the economy are scarce, the problem of the nature of goods and their quantities has to be decided on the basis of priorities or preferences of the society.

The Second Economic Problem: How to produce?

The next basic problem of an economy is to decide about the techniques or methods to be used in order to produce the required goods. This problem is primarily dependent upon the availability of resources within the economy. If land is available in abundance, it may have extensive cultivation. If land is scarce, intensive methods of cultivation may be used. If labor is in abundance, it may use labor-intensive techniques; while in the case of labor shortage, capital-intensive techniques may be used. The technique to be used also depends upon the type and quantity of goods to be produced. For producing capital goods and large outputs, complicated and expensive machines and techniques are required. On the other hand, simple consumer goods and small outputs require small and less expensive machines and comparatively simple techniques. Further, it has to be decided what goods and services are to be produced in the public sector and what goods and services in the private sector. But in choosing between different methods of production, those methods should be adopted which bring about an efficient allocation of resources and increase the overall productivity in the economy.

The Third Economic Problem: For whom to produce?

The third basic problem to be decided is the allocation of goods among the members of the society. The allocation of basic consumer goods or necessities and luxuries comforts among the household takes place on the basis of among the distribution of national income. Whosoever possesses the means to buy the goods may have them. A rich person may have a large share of the luxury's goods, and a poor person may have more quantities of the basic consumer goods he needs.

Main Sources of Knowledge of Islamic Economic Study

Islamic economics is based on the fundamental sources of Islamic knowledge. These sources provide guidance on economic activities such as production, distribution, consumption, justice, and welfare in society.

A] Primary sources: **1. Qur'an 2. Hadith**

B] Secondary sources: **3. Ijma 4. Qiyas**

1. The Qur'an

The Qur'an is the holy book of Muslims and the direct word of Allah. It is the most important and primary source of Islamic law and Islamic economics. The Qur'an provides fundamental principles about economic justice, lawful earnings, prohibition of exploitation, and fair distribution of wealth.

The Qur'an was revealed in Arabic over a period of approximately 23 years to the Prophet Muhammad (SAW).

- The revelations addressed the social, economic, and moral problems of the time and provided guidance for human life.
- During the lifetime of the Prophet (SAW), the verses were written down by appointed companions. Later, during the rule of Caliph Abu Bakr (RA), the Qur'an was compiled into a single book. During the time of Caliph Uthman (RA), several copies were made and distributed across the Islamic world. The Qur'an used today is the same as the one preserved and distributed more than 1,400 years ago.
- The Qur'an contains many economic teachings such as:
  - Prohibition of interest (Riba) – charging interest on loans is forbidden.

- Encouragement of charity (Zakat and Sadaqah) to reduce poverty.
- Honest trade and fair dealings in the marketplace.

Example: The Qur'an prohibits interest and encourages trade. This principle forms the basis of Islamic banking, where profit-sharing systems are used instead of interest.

2. Sunnah OR Hadith:

- The Sunnah is the second primary source of Islamic law. It refers to the sayings, actions, and approvals of the Prophet Muhammad (SAW). These are collectively known as Hadith.
- The Sunnah explains and clarifies the teachings of the Qur'an. While the Qur'an provides general principles, the Sunnah provides practical examples of how these principles should be applied in everyday life.
- During the time of the Prophet (SAW), his companions memorized and wrote down his sayings and actions. About 100 years after the Prophet's death, scholars began systematically collecting and compiling Hadith. To ensure authenticity, scholars developed the Isnad (chain of narrators) system, which traces each Hadith back to the original narrator.
- The six most authentic Hadith collections are known as Sihah al-Sittah.
- The Sunnah provides many economic guidelines, such as:
  - Prohibition of fraud and cheating in trade.
  - Encouragement of fair pricing and honest measurement.
  - Guidance on contracts, partnerships, and business ethics.

  Example: The Prophet (SAW) once said that a person who cheats in trade is not among his followers. This teaching promotes honesty in business transactions.

3. Ijma (Consensus of opinion)

Ijma refers to the agreement or consensus of Muslim scholars or jurists on a particular issue. It is used when there is no clear guideline or explicit rule in the Qur'an and Sunnah. Ijma helps scholars solve new problems that arise in society while still remaining within the framework of Islamic teachings. However, Ijma cannot change the fundamental principles of Islam or acts of worship. Example: Modern scholars agreed that paper money is acceptable as a medium of exchange, even though it did not exist during the time of the Prophet (PBUH).

4. Qiyas (Analogical Reasoning)

Qiyas is the process of deriving a rule for a new situation by comparing it with an existing rule found in the Qur'an or Sunnah. It is used when a new issue arises that was not directly discussed in earlier sources. In Qiyas, scholars identify the common cause (Illah) between the original case and the new case and then apply the same ruling.

Example: The Qur'an prohibits wine because it intoxicates. Using Qiyas, scholars extended this ruling to other intoxicating substances such as drugs and narcotics, even though they were not specifically mentioned in the Qur'an. In economics, Qiyas is also used to determine rulings on modern financial practices, such as digital transactions or new types of contracts.

IMPORTANCE OF ISLAMIC ECONOMICS.

a) Bridging the Missing Link of Conventional Economics

- Conventional economics focuses on wealth creation, profit maximization, and market efficiency, but ignores morality, social justice, and accountability to God.
- This creates a "missing link" between material well-being and spiritual well-being.
- Islamic economics fills this gap by combining economic efficiency + ethical responsibility + social justice.
- Examples: • Conventional Bank: Lends $100,000 at 10% interest. Borrower must repay $110,000, whether his business succeeds or fails.

• Islamic Bank: Uses Musharakah (joint venture) → if the business profits, both share; if it fails, both share losses. This ensures fairness.

- Qur'an (2:275) – "Allah has permitted trade and forbidden riba.

b) Resolving the Crisis and Conflicts: Modern crises (financial bubbles, poverty, inequality) arise from interest, speculation, and greed. Islamic economics resolves crises by:

- Prohibiting riba (interest) → avoids debt traps.

• Banning maysir (gambling/speculation) → prevents financial bubbles.

• Prohibiting gharar (excessive uncertainty) → ensures transparency in contracts.

• Promoting Zakat, Waqf, Sadaqah → reduces inequality.

• Examples: • 2008 Global Financial Crisis: Islamic banks were less affected because they did not invest in toxic mortgage-backed securities.

• Microfinance: Islamic microfinance in Sudan and Indonesia helps poor farmers without charging interest.

• Qur'an (5:90) – forbids gambling and speculation.

c) Meeting Ideological Obligations:

• Muslims are required to implement Islam in all aspects of life, including economics.

• Establishing Islamic economics is part of Maqasid al-Shariah (objectives of Islamic law): protecting faith, wealth, life, intellect, and family.

• It reflects the Islamic worldview that wealth is a trust (Amanah) from Allah, not an end in itself. Examples:

• Zakat obligation: Rich Muslims must give 2.5% of their savings to the poor. This is not voluntary charity, but a religious duty.

• Islamic Banking: Entire banking system is being restructured to comply with Shariah.

• Sukuk bonds: Provide Shariah-compliant investment alternatives.

• Qur'an (9:103) – "Take from their wealth a charity by which you purify them and cause them increase.

d) Ensuring Effective Cooperation among Muslim Countries:

• Islamic economics provides a common framework for Muslim countries to cooperate in trade, finance, and development.

• It can strengthen the Ummah's economic independence from Western financial systems.

• Shared principles (Zakat, prohibition of riba, halal trade) can unify Muslim economies.

Examples:

- Islamic Development Bank (IDB, est. 1975): Finances development projects in OIC (Organization of Islamic Cooperation) countries. ¬
- Cross-border Sukuk bonds: Malaysia, Indonesia, UAE issue Islamic bonds that are traded globally. ¬
- Halal economy: OIC countries cooperate in food, pharmaceuticals, and halal certification.

REFERENCES 1. Hamid, M. A. (2009), Islamic Economics – An Introductory Analysis, 2. Principles of Islamic Economics – Dr.Md. Arif Billah